



RESEARCH & INSIGHTS HUB

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# How Do You Define a Crypto Bear Market?

BTC and the COIN50 Index have recently broken below their respective 200DMAs

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Several converging signals may be pointing to the start of a new “crypto winter” as some extreme negative sentiment has set in due to the onset of global tariffs and the potential for further escalations. The total crypto market cap (excluding BTC) now stands at \$950B, a steep 41% decline from its December 2024 high of \$1.6T and 17% below levels from the same period last year. To put this into perspective, it’s even lower than almost the entire period from August 2021 through April 2022.

Simultaneously, venture capital funding in crypto picked up in 1Q25 from the previous quarter, but it's still down 50-60% from the levels observed during the peak of the 2021-22 cycle. This significantly limits the onboarding of new capital into the ecosystem, particularly on the altcoin side. All of these structural pressures stem from the uncertainty of the broader macro environment, where traditional risk assets have faced sustained headwinds from fiscal tightening and tariff policies, contributing to the paralysis in investment decision making. With equities struggling, the path to recovery for crypto remains challenging even with the idiosyncratic tailwinds from the regulatory environment.

The interplay of these factors paints a difficult cyclical outlook for the digital asset space, which may continue to warrant caution in the very short-term - perhaps through the next 4-6 weeks. However, we also believe investors need to take a tactical approach to markets because we expect that when the sentiment finally resets, it’s likely to happen rather quickly and we remain constructive for the second half of 2025.

For more details, see our [full report](#).

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